

Downward Breakouts

	Bull Market	Bear Market
Reversal or continuation	Short-term bearish reversal	Short-term bearish continuation
Breakeven failure rate	54%	32%
Average drop	6%	13%
Volume trend	Downward	Downward
Percentage meeting price target	32%	40%

Pennants are short consolidation patterns that appear in a strong price trend (the flagpole). Their shape is triangular, shown by two converging trendlines, but the triangle lines can slope upward, downward, or even sideways. Most of the time, the tilt will be against the flagpole trend. For example, if the flagpole sees price rise, the pennant will often tilt downward like a small falling wedge.

Pennants tend to be short, several days, but I allow up to 3 weeks. Anything longer than that is better classified as a symmetrical triangle or wedge (rising or falling).

Active swing traders may use flags and pennants in their trading. Like flags, pennants serve as half-staff patterns. The theory is that the price trend after the pennant will be as long as or longer than the trend before the pennant. Does it work? No. I'll explain that the pennant appears about 55% to 57% of the way along the trend.

The percentage meeting the price target (the “measure rule”) in the Results Snapshot shows a more brutal assessment. Only 32% to 46% will see a post-pennant move equal to or longer than the flagpole.

Let's take a quick tour to see what a pennant looks like, how to identify it, why it fails, and tear it apart using out statistical teeth.